

Purchase Requisition Approval Policy

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PURCHASE REQUISITION APPROVAL POLICY

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Owner: Chief Procurement Officer

1. PURPOSE

This policy defines the approval thresholds and routing rules for all purchase requisitions (PRs) raised through the supply chain management system. It applies to all procurement of materials, components, and indirect goods.

2. APPROVAL THRESHOLDS

2.1 Auto-Approval (Preferred Vendor)

Purchase requisitions with an estimated cost below \$5,000 submitted against a preferred vendor are pre-approved and require no further review. The system may proceed to issue a purchase order automatically.

2.2 Manager Approval (\$5,000 23 \$25,000)

Purchase requisitions with an estimated cost between \$5,000 and \$25,000 (inclusive) require manager approval before a purchase order is issued. The procurement system must route the requisition to the responsible manager and suspend processing until a decision is recorded.

2.3 Executive Approval (Above \$25,000)

Purchase requisitions with an estimated cost exceeding \$25,000 must follow the executive approval process and cannot be processed through the automated procurement workflow. Such requisitions are denied by the system and must be re-submitted through the Capital Expenditure (CapEx) review board.

3. VENDOR CONSTRAINTS

3.1 Preferred Vendor Requirement

For standard catalogue materials (urgency level: low or medium), procurement must use a preferred vendor. Purchase requisitions below \$5,000 using a non-preferred vendor require manager approval even if they would otherwise be auto-approved.

3.2 Forbidden Vendors

Vendors placed on the Restricted Vendor List (RVL) are forbidden from receiving purchase orders. Any requisition naming an RVL vendor must be denied immediately.

regardless of amount.

4. URGENCY OVERRIDES

4.1 Critical Urgency

Requisitions classified as critical urgency (on-hand stock is more than twice below safety stock level) may be escalated to manager approval regardless of amount, bypassing the standard auto-approval threshold. The manager must respond within 4 business hours.

4.2 High Urgency

Requisitions classified as high urgency follow standard thresholds but are flagged for expedited review.

5. AUDIT REQUIREMENTS

Every approval decision 24 auto-approved, manager-approved, or denied 24 must be recorded with the rule that triggered it, the requisition amount, and the applicable threshold. This record constitutes the audit artifact for compliance purposes.

6. POLICY REVIEW

This policy is reviewed annually by the Chief Procurement Officer and updated as business conditions change. The current version supersedes all prior versions.